

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**COMPLAINANT BED BATH & BEYOND INC.'S OPPOSITION TO RESPONDENTS
ORIENT OVERSEAS CONTAINER LINE LIMITED'S AND OOCL (EUROPE)
LIMITED'S MOTION FOR ENTRY OF A PROTECTIVE ORDER**

Complainant Bed Bath & Beyond Inc. (“BBBY” or “Complainant”), by and through its undersigned counsel, states as follows in opposition to the Motion for Entry of a Protective Order (the “Motion”) filed by Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL” or “Respondents”).

OOCL’s Motion seeks to improperly preclude necessary discovery into issues that lie at the very core of BBBY’s Shipping Act claims against OOCL, and each of OOCL’s arguments in its Motion fails. **First**, OOCL claims that the Federal Maritime Commission (the “Commission”) lacks jurisdiction over Complainant’s 46 U.S.C. § 41102(c) claim in Count I by re-hashing arguments presented in OOCL’s Memorandum in Opposition to BBBY’s Motion for Partial Decision on the Pleadings (Doc. No. 17). None of those arguments succeeds in light of a long line of Commission decisions and recent decisions by the Presiding Officer in other cases because, contrary to OOCL’s arguments, (1) BBBY’s 46 U.S.C. §§ 41102(c), 41104(a)(2), and 41104(a)(10) claims are legally cognizable and (2) BBBY’s 46 U.S.C. § 41102(c) claim effectively **requires** discovery into OOCL’s practices with respect to not only BBBY but also other shippers. **Second**, BBBY has already worked with OOCL to limit the scope of issues in dispute, whereas OOCL brought this Motion without having performed any searches to determine the scope of documents actually implicated by BBBY’s discovery requests. **Third**, OOCL seeks an unwarranted stay with respect to the areas objected to while the Presiding Officer decides BBBY’s Motion for Partial Decision on the Pleadings, but such a stay should be denied due to the short discovery window for the case and the obvious relevance of the discovery to BBBY’s valid claims.

LEGAL STANDARD

Under the Commission’s Rules of Practice and Procedure, “Parties may obtain discovery regarding any nonprivileged matter that is relevant to any party’s claim or defense” 46 C.F.R. § 502.141(e)(1). A respondent “cannot limit its discovery to what it believes are the core issues in

this proceeding nor can it require [the complainant] to produce evidence that claims are valid before producing discovery.” *MCS Indus., Inc. v. COSCO Shipping Lines Co., Ltd. & MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 21-05, 2021 WL 5908366, at *3–4 (Fed. Mar. Comm’n C.A.L.J. Dec. 8, 2021).

ARGUMENT

A. BBY Need Not Prove Its Claims in Order to Seek Discovery, and the Presiding Officer Has Already Determined that the Requested Discovery Is Relevant and Appropriate for Substantially Identical Claims Under 46 U.S.C. § 41102(c).

OOCL contends in its Motion that BBY’s Count I claim, brought under 46 U.S.C. § 41102(c), is “legally untenable” and thus OOCL should not be required to meet its discovery obligations. However, the Presiding Officer has already rejected the argument that a complainant must prove the validity of its claims before seeking discovery on those claims. In *MCS Industries*, the respondent refused to produce documents on the grounds that “the [c]omplainant [wa]s not entitled to discovery in support of legally insufficient claims.” *MCS Indus., Inc.*, 2021 WL 5908366, at *3–4. As noted above, however, the Presiding Officer rejected that argument, holding that a respondent “cannot limit its discovery to what it believes are the core issues in this proceeding nor can it require [the complainant] to produce evidence that claims are valid before producing discovery.” *Id.* Although OOCL’s Motion briefly addresses this decision, it does nothing to address that clear decision by the Presiding Officer.

Moreover, even if a motion for a discovery protective order, as opposed to a timely motion to dismiss, were the appropriate way of challenging the legal sufficiency of Complainant’s claims—it is not—the Presiding Officer has already confirmed the validity of substantially identical claims and the appropriateness of substantially identical discovery to such claims. In *MCS Industries*, the complainant brought claims based on alleged events and conduct extremely similar to those alleged in this case, claiming (as Complainant does here) that the respondents

violated 46 U.S.C. §§ 41102(c), 41104(a)(2), and 41104(a)(10) by (a) failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, and delivering the property of the complainant and other shippers under service contracts, (b) providing service in the liner trade that was not in accordance with rates and charges contained in service contracts, and (c) unreasonably refusing to deal or negotiate with the complainant. *See MCS Indus.*, 2022 WL 458569, at *4–7, 9 (Fed. Mar. Comm’n C.A.L.J. Feb. 4, 2022). Just as in this case, the claims in *MCS Industries* were predicated on allegations that the respondents engaged in a practice of favoring higher priced cargo and refusing to satisfy their service commitments pursuant to established service contracts unless the complainant agreed to pay additional fees and costs. *See id.* The Presiding Officer determined:

Allegations in the amended complaint extend beyond allegations of breach of the service contract to allege practices that violate the Shipping Act, such as . . . systematically preferring higher-priced cargo, and coercing surcharges The Commission has an obligation to determine the reasonableness of practices by regulated entities that are alleged to violate the Shipping Act.

Id. at *6. (denying a respondent’s motion to dismiss and finding that the complainant had adequately stated a claim under 46 U.S.C. § 41102(c) regarding the receiving, handling, storing, or delivering of property based on claims of favoring higher-priced cargo and coercive surcharges).

Since Complainant need not prove the validity of its claims to obtain discovery and, in any case, the Presiding Officer has recently upheld the validity of similar claims, OOCL’s Motion for a protective order should be denied.

B. Discovery of OOCL’s Conduct with Respect to Other Shippers Is Critical to BBY’s Claims.

OOCL next argues that discovery regarding OOCL’s dealings with other shippers is not relevant to BBY’s claim in Count I of its complaint under 46 U.S.C. § 41102(c). This argument, however, directly contradicts the text of Count I itself, which specifically alleges:

Respondent's practices alleged herein of systematically failing to meet its service commitments to Complainant ***and, upon information and belief, other shippers,*** seeking to coerce Complainant ***and, upon information and belief, other shippers,*** to pay PSS and enter into premium contracts in order to obtain space, constituted failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and, upon information and belief, other shippers, in violation of 46 U.S.C. Section 41102(c).

Verified Compl. ¶ 123 (emphasis added).

Moreover, as Respondents undoubtedly know, to prove a claim under 46 U.S.C. § 41102(c), 46 C.F.R. § 545.4 requires, *inter alia*, proof that “[t]he claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis”. Clearly Respondents’ conduct with respect to other shippers, including their implementation of their alleged policies or practices, or any other concerted or coordinated conduct, with respect to Complainant as well as other shippers, and any such shippers’ complaints of similar behavior by Respondents, are highly relevant and potentially necessary to showing the normal, customary, and continuous mechanisms by which Respondents allegedly harmed Complainant as well as other shippers, thereby proving the essential elements of Complainant’s 46 U.S.C. § 41102(c) claim as articulated in 46 C.F.R. § 545.4.

Furthermore, the Presiding Officer previously compelled a respondent in *MCS Industries* to produce documents relevant to “other shippers’ complaints of similar behavior by [r]espondent, or other alleged practices in violation of the Shipping Act” over a period of approximately two years. *See MCS Indus., Inc.*, 2021 WL 5908366, at *11–12. To grant Respondents’ Motion here, in a case bearing striking factual and legal similarities, would be impossible to square with the Presiding Officer’s previous decision on the motion to compel in *MCS Industries*.

The *Kellogg Brown* case cited by OOCL is also inapposite for precisely the reason for which this discovery is required in this case. The movants in that case sought the documents at

issue “because they [we]re relevant to the Government’s interpretation of the contractual provisions at issue” *United States v. Kellogg Brown & Root Servs., Inc.*, 284 F.R.D. 22, 37 (D.D.C. 2012). In the instant case, BBBY needs the requested discovery not as part of contract interpretation, but instead because, by regulation, it cannot prove the essential elements of its Count I claim without demonstrating that the acts and omissions complained of are occurring on a “normal, customary, and continuous basis”. 46 C.F.R. § 545.4.

Respondents also claim, inaccurately, that Count I is the only claim that implicates allegations related to Respondents’ conduct with respect to “other shippers”, but Counts III and IV of the Verified Complaint also allege that OOCL’s practices of “systematically failing to meet its service commitments to Complainant” violated the Shipping Act and the Verified Complaint further alleges that OOCL engaged in such conduct with other shippers, as well. *See* Verified Compl. ¶¶ 92, 127, 129. Additionally, Complainant has alleged that Respondents, as a part of their failure to meet its service commitments with Complainant, engaged in an illegal practice of auctioning Complainant’s space off to other shippers (Verified Compl. ¶¶ 60–64) as a part of Respondents’ illegal conduct of preferring higher-priced freight and thus failing to meet its service commitments.

Because discovery into Respondents’ conduct with respect to other shippers is integral to Complainant’s claims, the Presiding Officer should deny OOCL’s Motion.

C. The Scope of Issues in Dispute Is Limited in Time and Subject Matter, and BBBY Has Offered to Work with OOCL to Limit the Scope Further to the Extent Possible.

Despite OOCL’s arguments to the contrary, the scope of the issues in dispute is relatively limited. BBBY has already acknowledged in negotiations with OOCL that the requested discovery with respect to other shippers should focus on the same port pairs that were covered by BBBY’s

service contracts with OOCL, and likely could exclude refrigerated cargo, thereby providing concrete, practical limits on the scope of discovery.

OOCL has further proposed that discovery with respect to its dealings with other shippers be limited to shippers that shipped “General Department Store Merchandise” (“GDSM”) cargo with OOCL. BBY has not agreed to this limitation and does not understand its basis; in its view, any other shipper that managed to ship its (non-refrigerated) containers on board OOCL’s vessels between the port pairs in BBY’s service contracts is relevant to its claims, regardless of what was in those containers. However, neither are the parties necessarily at an impasse on this point. BBY has asked to get an understanding from OOCL of what exactly would be excluded if discovery were limited to GDSM shipments, but thus far has received no explanation or rationale for that proposed limitation.

OOCL incorrectly claims that BBY is still requesting documents “during the past three years”, despite BBY having previously suggested that it could potentially agree to limit the time frame of discovery of information regarding other shippers to May 1, 2020 through April 30, 2022 (i.e., a time period corresponding to the terms of the two service contracts implicated in this case). Despite BBY’s explicit willingness to discuss limiting the timeframe for discovery, OOCL’s proposal to restrict such discovery to an arbitrary six-month period is baseless and would lead to discovery that is, at best, woefully incomplete and, at worst, affirmatively misleading. As the Presiding Officer knows, ocean shipping is cyclical and seasonal in nature, and shippers’ and carriers’ respective operations, contracts, and obligations typically are organized on the basis of 12-month “shipping years” running from May of one year through April of the next. Accordingly, Respondents’ conduct with respect to their service commitments to Complainant and other shippers, especially those with service contracts, can only be evaluated on a full shipping-year

basis. Analyzing OOCL's satisfaction of (or shortfalls on) its annual service commitments, evaluating OOCL's practices and procedures, and determining whether OOCL's practices constituted unreasonable refusals to deal with Complainant all require documents or data covering the full shipping years at issue. A limited six-month snapshot would not be probative of OOCL's performance with respect to its service commitments or its practices and procedures during the ebbs and flows of a shipping year. Indeed, if cherry-picked by Respondents, such a six-month snapshot could even provide an affirmatively misleading picture of OOCL's treatment of other shippers during the time period relevant to this case. BBY remains open to negotiating the most efficient means for providing this necessary information (e.g., provision of detailed data or detailed interrogatory responses in partial fulfillment of BBY's document requests), but cannot be hamstrung in seeking the documents and data it will need to meet its burden of proof on its claims.

OOCL also seizes upon references in the *MCS Industries* case to a four-month window of time for certain discovery requests as somehow suggesting that such a window is an appropriate limitation on communications between a respondent carrier and "other shippers". The four-month window discussed in the Presiding Officer's ruling on the motion to compel in *MCS Industries*, however, was merely a reflection of the four-month time frame initially implicated in the original complaint in that case (i.e., May through August 2021), *see MCS Indus.*, FMC Dkt. No. 21-05, Doc. No. 1, not an arbitrary limit on the permissible time period for such discovery. The motion to compel in *MCS Industries* was filed prior to the verified amended complaint in that case, which expanded the relevant time period to include the entire 2020–21 shipping year. *See id.*, Doc. No. 27. However, the Presiding Officer's Initial Decision on Default against the respondent in that case was issued long after the complainant's verified amended complaint had been filed and complainant had served virtually identical discovery requests on the respondent covering the

2020–21 shipping year. Indeed, the Presiding Officer made clear in that decision that the allegations in the verified amended complaint in that case related to the entire 16-month period during which the complainant alleged that the respondent had engaged in a practice of systematically preferring higher priced cargo and coercing surcharges, and the Presiding Officer, based on the respondent’s failure to comply with the Presiding Officer’s discovery orders, awarded the complainant reparations not only for the four months at issue in its initial verified complaint, but also for the full 2020–21 shipping year raised in its verified amended complaint. *See MCS Indus.*, FMC Dkt No. 21-05, Doc. No. 64 at 15, 22–23. For these reasons, the four-month window referenced in the original motion to compel decision in *MCS Industries* is no limitation, at all, and has no bearing on the appropriate scope of discovery for BBY’s claims, which by their nature encompass the entire 2020–21 and 2021–22 shipping years. To the contrary, the Presiding Officer’s Initial Decision on Default in *MCS Industries* shows that discovery for claims such as those alleged there—and in this case—should properly extend to the full time period implicated in the complaints’ allegations.

OOCL’s claim that the requested discovery is overbroad rings hollow given BBY’s proposed accommodations detailed above. Because the scope of discovery requested by BBY is not overboard, but appropriately tailored to the time period and scope relevant to Complainant’s claims, the Presiding Officer should deny the Motion for entry of a protective order.

D. OOCL’s Undue Burden Argument Is Premature Because It Has Not Conducted Any Searches.

OOCL claims that BBY’s requests regarding its dealings with other shippers are unduly burdensome, but that argument is premature because OOCL openly admits in its Motion that it has not yet run even initial searches to determine the actual volume of documents implicated by the objected-to requests. Mot. at 5, 9. Respondents essentially ask the Presiding Officer to accept

their speculation that Complainant's discovery requests as served will yield an unmanageably large number of documents, without any proof to back up that speculation. With no numbers in hand, and without countervailing context as to the number of documents that OOCL's requested search terms will hit on in BBY's documents, OOCL cannot provide any metrics or estimates regarding burden, rendering the present Motion speculative and hypothetical. Especially in light of BBY's demonstrated willingness to explore further limitations on its discovery requests to reduce volume and burden, the Presiding Officer should deny the Motion until OOCL has at least run test searches to determine the volume of documents implicated by the allegedly overbroad requests.

E. This Is Not a Fishing Expedition.

OOCL's characterization of BBY's requests as a "fishing expedition" is unfounded and inaccurate. As discussed above, BBY has already agreed to reasonable limitations that substantially reduce the scope of discovery regarding OOCL's dealings with other shippers, and has offered to engage in further limitations that OOCL may be able to justify to BBY's satisfaction. This cooperative approach rebuts any notion that the requests are a speculative attempt to root out unknown wrongdoing, especially in light of the Commission's own inquiry into allegations against multiple carriers, including OOCL, "from multiple parties reporting that ocean carriers are improperly implementing surcharges." Verified Compl. ¶ 71.

Moreover, the information BBY seeks regarding OOCL's failures to satisfy minimum quantity commitments for other shippers, and its efforts to coerce acceptance of PSS, other surcharges, or premium contracts, is directly relevant to the core allegations in this case. BBY is not fishing blindly for potential misconduct with its discovery requests. Rather, it seeks discovery tied to the precise forms of misconduct that BBY alleges OOCL committed against it, and that have generally been the focus of prior statements by the Commission itself. *See* Verified Compl. ¶¶ 69–72.

F. There Is No Basis to Stay Discovery Pending the Resolution of the Motion for Judgment on the Pleadings.

OOCL offers no persuasive basis for staying discovery pending the Presiding Officer's decision on BBY's motion for partial decision on the pleadings.¹ As the Presiding Officer has made clear, OOCL cannot limit its discovery production only to those issues that it believes are core to the case, nor can it require BBY to prove its claims now before being entitled to discovery on those claims. BBY is permitted discovery on any non-privileged matter relevant to its claims, regardless of the outcome of the pending motion for partial decision on the pleadings. Any piecemeal partial stay of this relevant discovery would needlessly delay BBY's prosecution of its claims, for which the Commission's rules envision prompt resolution. Absent extraordinary circumstances not present here, a respondent should not be able to use procedural tactics to stall the Complainant's access to probative evidence available through ordinary discovery. In the absence of any valid basis for a stay, the Presiding Officer should deny the Motion.

CONCLUSION

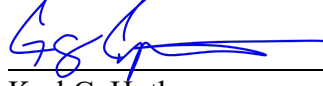
In conclusion, BBY's tailored discovery requests seek documents and information centrally relevant to the substance of its claims. BBY has consistently demonstrated willingness to work in good faith to reasonably limit the requests. This is not a fishing expedition, but rather a focused attempt to obtain highly relevant evidence arguably necessary for BBY to meet its burden of proof. The Presiding Officer should allow this discovery to proceed with the rest of discovery in the case. For the reasons stated above, Complainant respectfully requests that the Presiding Officer deny the Respondents' Motion for Entry of a Protective Order.

¹ OOCL's Motion notably exceeded the ten-page limit permitted by 46 C.F.R. § 502.71(d). The Presiding Officer should strike pages beyond that limit, including OOCL's alternative request for a stay.

Dated: August 15, 2023

Respectfully submitted,

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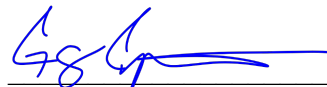
Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited by emailing copies of those documents to their counsel of record listed below:

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Dated: August 15, 2023



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